

Analysis Report

Digital Ad Campaign Performance and Strategic Optimization

Client: NewCo Leadership

Prepared by: BCG X Data Science Team

Focus: Marketing Spend Efficiency, Channel Attribution and Customer Acquisition Strategy

Executive Summary

NewCo recently executed a multi-channel digital advertising campaign generating **\$14,659.60 in total sales** across **239 conversions** out of 500 digital interactions, establishing a baseline campaign conversion rate of **48%**.

While high-level performance metrics indicate a successful initiative, a granular segmentation analysis across channels (Email, Instagram, Web Banner) and campaign types (Campaign A vs. Campaign B) reveals a stark strategic divergence:

1. **Campaign A is a New Customer Acquisition Engine:** It generated **63.77%** of all new customer revenue (\$3,726.99 out of \$5,844.43).
2. **Campaign B is an Existing Customer Retention Driver:** It drove **75.69%** of all existing customer revenue (\$6,672.60 out of \$8,815.17) and captured **61.09%** of total conversions (146 out of 239).
3. **Email is the Anchor Channel:** Email delivered **53.95%** of total revenue (\$7,909.31) and **47.28%** of total conversion volume (113 conversions) at an individual channel conversion rate of **22.60%**.

To maximize Return on Ad Spend (ROAS) next quarter, NewCo must align its channel execution directly with its strategic growth goals rather than treating marketing spend as a monolithic budget.

Key Business Questions and Strategic Findings

1. Which campaign and channel combination delivered the most overall value?

- **Top Revenue Pair: Campaign B delivered via Email** generated **\$4,956.94** in sales, making it the single highest-value combination across the entire campaign (accounting for **33.81%** of total campaign revenue).
- **Top Conversion Pair: Campaign B via Email** produced **72 conversions**, representing **30.13%** of all conversions recorded.
- **Secondary Channel Synergy:** Campaign B paired with Web Banners added **\$2,122.59** in sales across 45 conversions, proving that Campaign B excels on direct-response, text/graphic banner placements.

2. What drove engagement and conversions among NEW customers?

- **Winning Strategy: Campaign A** was significantly more effective at attracting and converting first-time buyers, generating **\$3,726.99** in sales compared to Campaign B's **\$2,117.44**.

- **Primary Acquisition Channels:**
 - **Email (Campaign A):** Generated **\$2,124.47** in new customer sales.
 - **Instagram (Campaign A):** Generated **\$969.46** in new customer sales across **35 conversions**. Instagram was the only channel where Campaign A outperformed Campaign B in raw conversion volume (35 vs. 29 conversions).
- **Core Takeaway:** Brand/product-awareness messaging (Campaign A) combined with visual storytelling (Instagram) and direct outreach (Email) acts as NewCo's primary funnel entry point.

3. How did Existing Customers behave?

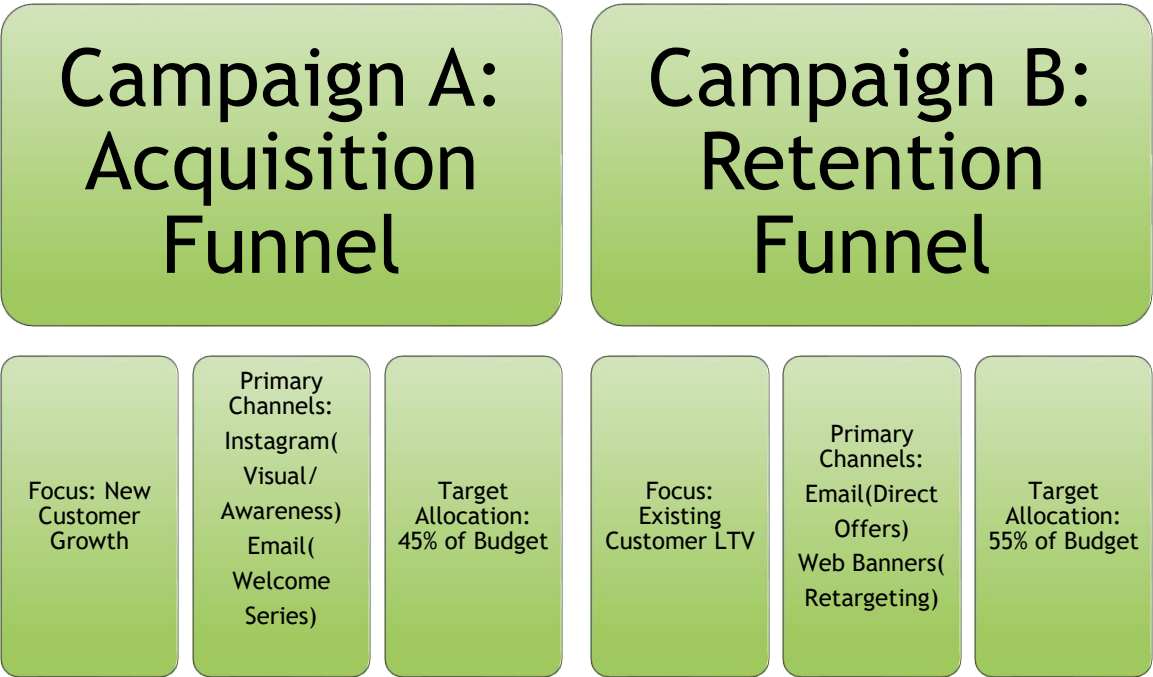
- **Winning Strategy:** Campaign B dominated repeat purchases, capturing **\$6,672.60** in revenue (75.69% of existing customer spend).
- **Retention Anchor:** Email (Campaign B) generated **\$3,574.56** from existing customers. Existing customers already familiar with NewCo responded strongly to Campaign B's call-to-action, yielding high conversion velocity across Email and Web Banners (\$1,803.67).

Channel Performance Breakdown

Channel	Total Sales	Revenue Share	Total Conversions
Email	7909.31	54%	113
Instagram	3873.41	26%	64
Web Banner	2876.88	20%	62

Strategic Recommendations for Next Quarter

NEXT QUARTER BUDGET ALLOCATION



1. Implement Dual-Funnel Segmentation (Stop Broad-Match Campaigns):

- Do not run Campaign B to cold audiences on Instagram, as it yields low acquisition efficiency (\$416.14 in sales).
- Deploy Campaign A messaging exclusively to prospects/new users and Campaign B messaging strictly to existing database contacts.

2. Reallocate Capital Across Channels:

- **Scale Instagram Budget for Campaign A:** Increase visual creative spend on Instagram paired with Campaign A messaging to capitalize on high new-customer responsiveness (\$969.46 sales / 35 conversions).
- **Optimize Web Banners for Re-engagement:** Re-architect Web Banner campaigns to focus on retargeting existing visitors with Campaign B messaging (\$1,803.67 retention sales).

3. Establish Email Lifecycle Automation:

- Split the email strategy into two automated tracks:
 - *Track 1 (New Leads):* Campaign A welcome drip to nurture first-time buyers.
 - *Track 2 (Existing Customers):* Campaign B targeted promotional offers to drive high Average Order Values (AOV).